

NYKAA PRODUCT STRATEGY TEARDOWN

Driving **Repeat Purchases & Loyalty**
Among First-Time Buyers

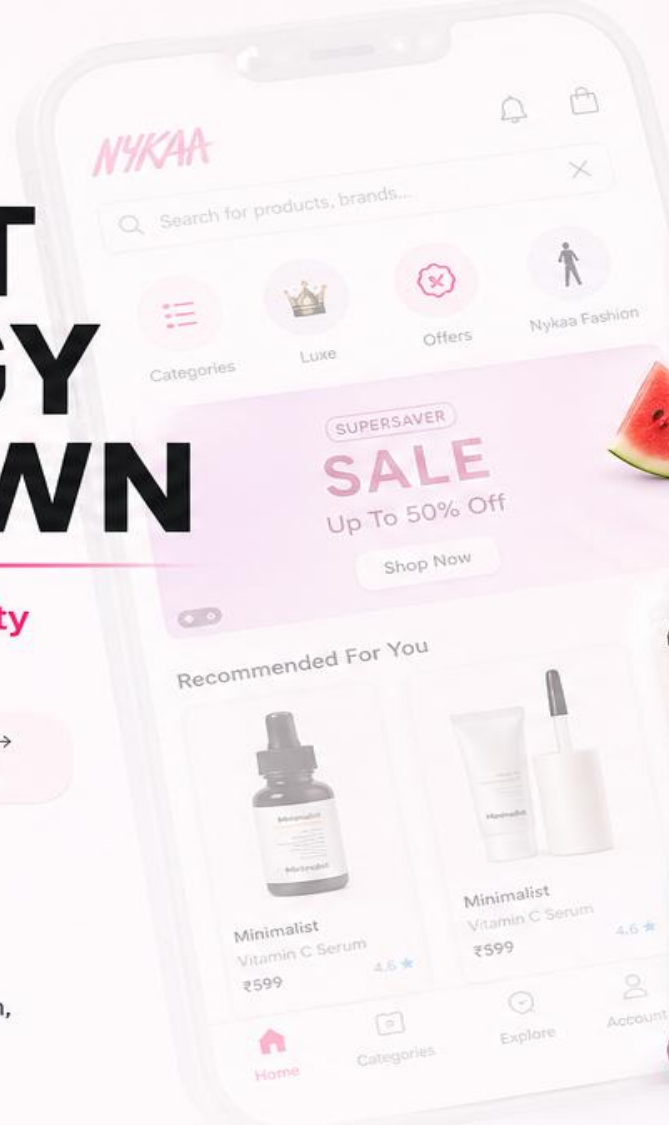


From Transactional Beauty Shopping →
Habit-Driven Personalised Experience



PM Role:
User Growth & Retention

A data-driven product strategy solving high first-time buyer churn using loyalty, personalisation, and post-purchase engagement.



SKINCARE

Dot & Key • Minimalist

High Entry Category
(34%)



MAKEUP

Huda Beauty • MAC

Aspirational
Upgrade



HAIRCARE

WOW • Mamaearth

Routine-Based
Repeat Driver

NYKAA
Beauty. Our Passion.

THE JOURNEY



DISCOVERY



TRUST



LOYALTY



REPEAT
PURCHASE



250
Users
Research

50 IDIs + 200 Survey



4
Competitors
Analysed
Deep Competitive
Intelligence



**RICE +
MoSCoW**
Prioritisation
8 High-Impact
Features



2
Personas
Priya & Meera
Validated with
Primary Research



₹672M
GMV Impact
Model
3-Year Projected
Uplift



**12-Month
Roadmap**
Phased Execution
Plan

The Burning Platform: A Massive Opportunity at Risk

High churn, Low repeat frequency. Transactional experience.
Millions in unrealised LTV leaking every month.

1 HIGH FIRST-ORDER CHURN

68%

FTB 90-day churn

68% of first-time buyers never return within 90 days.

Industry benchmark is 46% — a critical **22 pp gap** costing Nykaa millions in unrealised LTV every month.

2 LOW REPEAT FREQUENCY

2.8x

orders/user/yr
(vs 4.1x)

Nykaa averages 2.8 orders per user per year vs. 4.1x industry average — a 1.3 order shortfall.

At ₹1,240 avg basket, each missed repeat order = ₹1,612 LTV leak.

For 10M MAUs → **₹21B** revenue opportunity left on the table

3 TRANSACTIONAL APP EXPERIENCE

48s

avg session
(vs 4.2 min)

Average non-purchase session = 48 seconds vs. Sephora global peers at 4.2 minutes — a **5x gap** in content engagement.

No content moat means Nykaa is one promotional notification away from losing a user.

India Online Beauty Market (₹ Billion)



Market projected to reach **₹680B** by FY27E

Nykaa First-Time Buyer Funnel (%)

% of First-Time Buyers



Only **14%** become loyal — 86% drop off in 90 days

Where the Leakage Happens

% Drop-off



Key Insight

Nykaa's biggest gap is not acquisition. It's **activation** and **habit formation**.



1.3 Orders Missed Per User
= **₹1,612** LTV leak per user



10M MAU Impact
= **₹21B** annual revenue opportunity



5X Engagement Gap
= **Content-led** experience is the unlock



Where Growth Breaks: Funnel Leakage & User Behaviour

Massive drop-offs between discovery and repeat purchase driven by lack of habit formation and engagement.

India Online Beauty Market Growth

₹ Billion



CAGR ~34% — Market is booming, but retention is broken.

Nykaa First-Time Buyer Funnel



First Order

100%



Open App Again

72%



Browse (Day 7)

48%



2nd Purchase (Day 30)

18%



2nd Purchase (Day 90)

32%



Loyal Users (3+ orders)

14%

BIGGEST DROP:
48% → 18%

Users don't transition from browsing to habit.

Key User Behaviour Insights



71%

of FTBs would join a loyalty programme if tier perks are visible on the home screen.



3.2x

Users who received Day-7 personalised email re-ordered faster.



₹1,240

Average basket size of 2nd order vs ₹860 for first order — loyalty drives basket uplift.



63%

Cited product running out as the biggest purchase trigger.



KEY INSIGHT

Nykaa doesn't have a demand problem.
It has a **habit formation** problem.

ROUTINE-BASED CATEGORIES DRIVE REPEAT BEHAVIOUR

Skincare leads first orders — and long-term loyalty.



Minimalist
Vitamin C Serum
₹599

34%
First Order
Share



Dot & Key
Watermelon
Sleeping Mask
₹495

Top Driver
High repeat
intent in
Day 28–35
window



Aloe Vera &
Cucumber &
Cucumber Gel
₹275

18%
First Order
Share



Aligning post-purchase nudges with usage cycles can unlock massive repeat potential.

What's Stopping First-Time Buyers From Becoming Loyal Nykaa Customers?

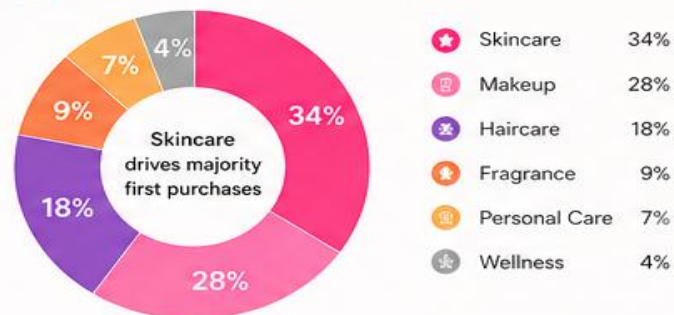
We analysed barriers, category preferences and re-engagement triggers to unlock the path to repeat purchase.

Top Barriers to Repeat Purchase (% multi-select)



Lack of value perception, habit cues and loyalty visibility are the biggest growth blockers.

First Order Category Split (%)



Skincare is the entry category → High repeat potential if nurtured right.

Re-engagement Intent (%)



Users are open to engagement — if it's relevant, timely and rewarding.

MORE KEY BEHAVIOURAL INSIGHTS



80% of FTBs browse on mobile

Desktop conversion 2.3x higher (intent gap)



74% check 5+ reviews before 2nd purchase

Social proof strongly influences repeat decision



Day 28-35 is peak repurchase window for skincare

Aligns with product usage cycles



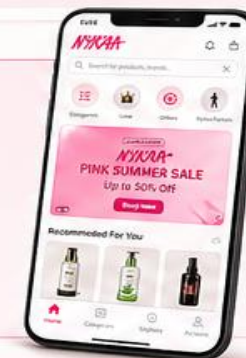
52% compare prices with Amazon/Meesho before checkout

Price transparency & trust are critical



THE BIG PICTURE
Users want reasons, relevance and rewards.

Fix the experience around these, and loyalty will follow.



What Users Really Want



Visible Loyalty & Rewards

Show progress, coins & tier benefits upfront



Personalised Communication

Timely nudges via Day-7 email, reminders & quizzes



Usage-Based Reminders

Remind when products are about to run out



Relevant Discovery & Guidance

Curated routines, filters & expert recommendations



Trust & Value Assurance

Best price confidence, fast delivery & reviews

Designing for Two Core Segments: Routine Seekers vs Premium Loyalists

Understanding distinct needs, motivations and behaviours to drive loyalty and lifetime value.

PERSONA 1



Priya Sharma

25 | Software Engineer | Bengaluru



Income: ₹12–18L/yr



Nykaa buyer: 3 months

WHAT SHE BUYS



Minimalist
Vitamin C Serum
₹599



Dot & Key
Watermelon
Moisturizer
₹495

BEHAVIOUR



Browses 2x / month
Buys 1x / quarter



Reads 5+ reviews
20+ mins before purchase



Mobile-first user

MOTIVATIONS



Wants visible rewards
and tier progress



Loves curated 'For You'
recommendations



Aspires to a consistent
skincare routine

PAIN POINTS



No reminder when products
run out — forgets Nykaa
exists mid-cycle (63%)



Generic pushes feel irrelevant
and lead to uninstalls



Overwhelming choices:
3,000+ SKUs in skincare,
no routine guidance



Price anxiety: compares
with Amazon/Meesho before
checkout



LTV POTENTIAL

₹6,200 / year

₹18,600 over 3 years

Currently at
₹1,800 / year

70% uplift possible

PERSONA 2



Meera Nair

31 | Marketing Manager | Mumbai



Income: ₹22–35L/yr



Nykaa buyer: 18 months

WHAT SHE BUYS



Huda Beauty
Eyeshadow Palette
₹5,200



MAC
Matte Lipstick
₹2,200



Charlotte Tilbury
Flawless Filter
₹4,200

BEHAVIOUR



Buys 6–8x / year



Reads Nykaa Editorial
& beauty content



Follows influencers &
discovers via social



High AOV, premium
category customer

MOTIVATIONS



Wants exclusivity
& early access



Values premium tier
recognition



Seeks expert
recommendations &
personalised support

PAIN POINTS



Loyalty tier not visible —
doesn't feel recognised



No early access to global
brand launches



No VIP channel — same
support as new users



Churn risk: browses
Sephora & brand sites
for better experience



LTV POTENTIAL

₹28,000 / year

₹84,000 over 3 years

Currently at
₹25,000 / year

High value, high churn risk

AT A GLANCE
COMPARISON

FREQUENCY
Orders / Year

Priya (Routine Seeker)

4x / year

Meera (Premium Loyalist)

6–8x / year



BASKET SIZE
Average Order Value

₹860 – ₹1,240

₹3,200 – ₹4,500



MOTIVATION
Key Driver

Build routine, good value,
easy & guided experience

Exclusivity, premium experience,
expertise & early access



RISK OF CHURN
Top Risk

Forgets Nykaa,
price comparison

Better experience
elsewhere, no exclusivity



LTV POTENTIAL
3 Year Potential

₹18,600

₹84,000



Key Takeaway: Priya needs habit formation and reminders. Meera needs recognition, exclusivity and experiences. Different needs. Same goal — lifelong loyalty.

Competitor Benchmarking: Loyalty, Content & Personalisation Gap

No single competitor owns all three — Nykaa's opportunity is to combine them.

1 SEPHORA

Strengths

- ✓ Strong loyalty (Beauty Insider)
- ✓ Premium content & expert led
- ✓ Exclusive brands & experiences

Weakness

- ✗ Expensive, limited India presence



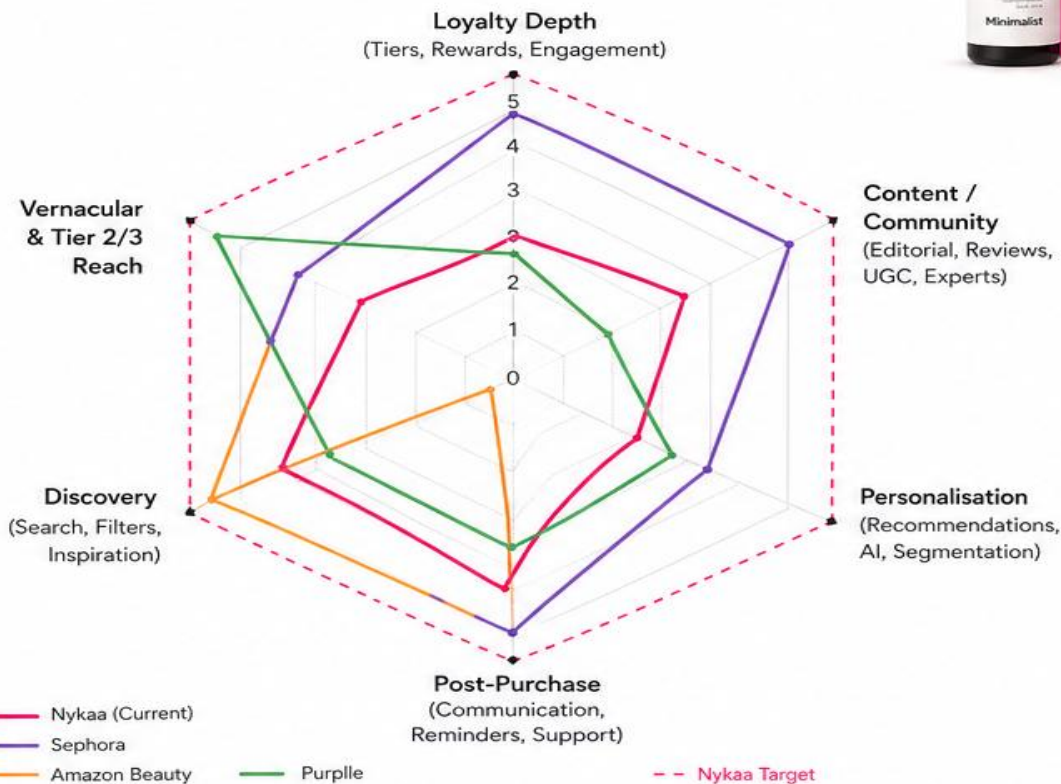
2 amazon beauty

Strengths

- ✓ Fast delivery & convenience
- ✓ Best pricing & wide assortment
- ✓ Massive customer data & scale

Weakness

- ✗ No beauty expertise or curation
- ✗ No loyalty or engagement layer



3 purple

Strengths

- ✓ Gamified loyalty (Purple Elite)
- ✓ Strong Tier 2/3 penetration
- ✓ Affordable beauty destination

Weakness

- ✗ Discount driven perception
- ✗ Limited premium brand depth



4 NYKAA FASHION

Strengths

- ✓ Fashion + beauty integration
- ✓ Large influencer & content play
- ✗ Strong brand & marketing muscle

Weakness

- ✗ Not a beauty-first destination
- ✗ Weaker beauty discovery depth



KEY TAKEAWAY

Each player is strong in one or two areas. Nykaa is the only player that can **own all three**.



Nykaa's Opportunity = Loyalty + Personalisation + Content Moat

LOYALTY LEADERSHIP
Visible tiers, aspirational benefits & habit-forming engagement loops.



HYPER-PERSONALISATION
AI-powered recommendations, usage-based triggers & routine intelligence.



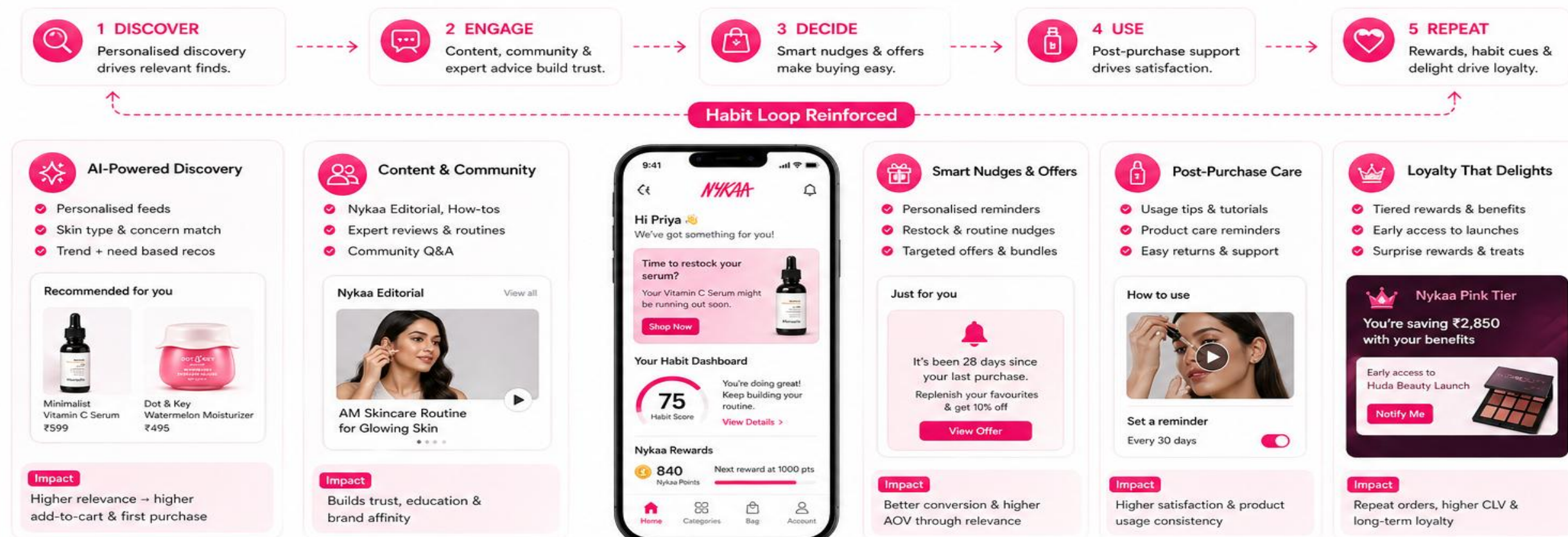
CONTENT & COMMUNITY MOAT
Expert content, real reviews, UGC & creator ecosystem that builds trust & time spent.



Build the most loved beauty destination **in India**.

Nykaa Habit Loop: Turning Shoppers into Loyalists

A habit-forming loyalty ecosystem that personalises, nudges and rewards every beauty journey.



ENABLERS THAT POWER THE LOOP



1st Party Data & Insights

Unified customer view across touchpoints



AI/ML Personalisation

Right message, right time, right user



Omnichannel Engagement

App, Email, Push, SMS, WhatsApp



Measurement & Learning

Test, learn & optimise continuously

SUCCESS METRICS (TARGET IN 12 MONTHS)



+25%

Repeat Purchase Rate



+18%

Average Order Value



+30%

Customer Lifetime Value



-20%

90-Day Churn Rate

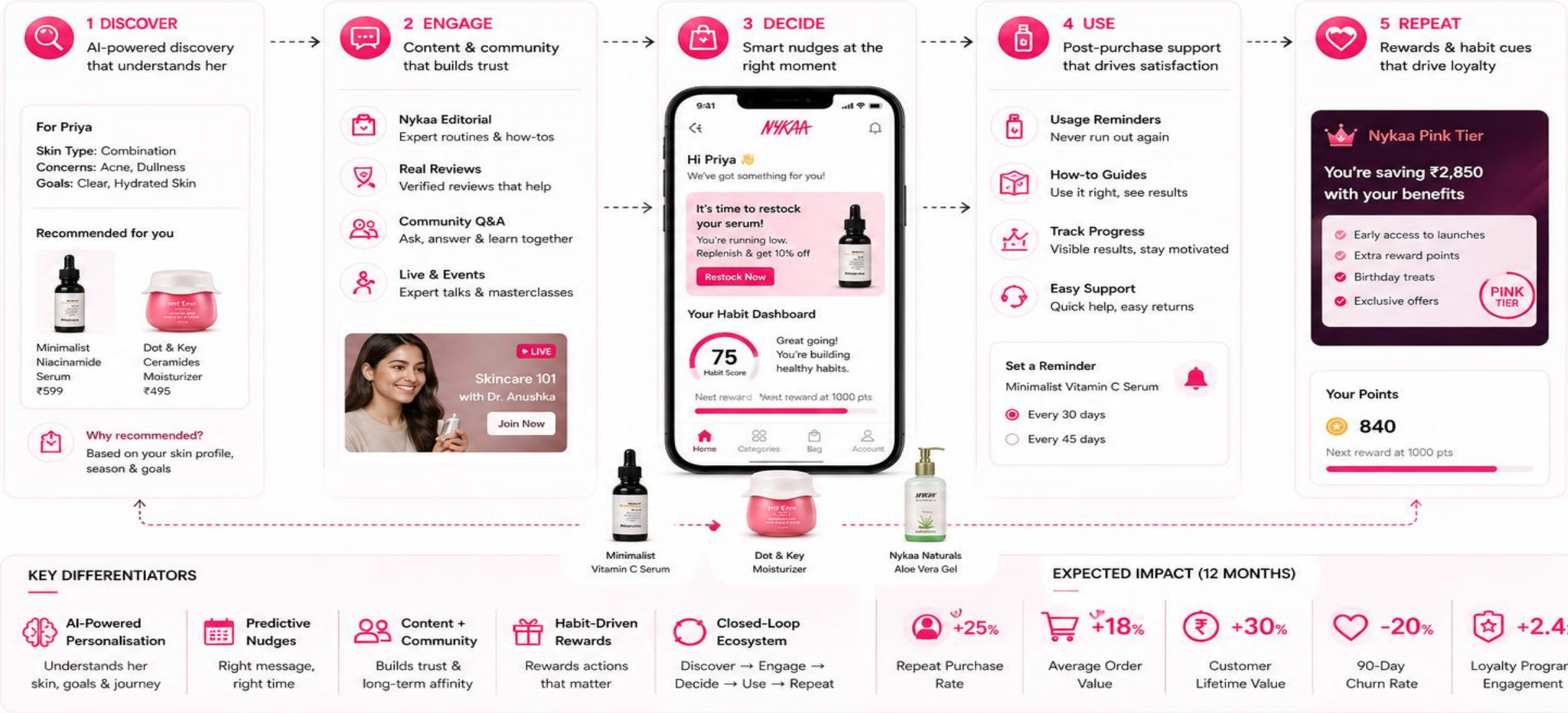


KEY TAKEAWAY: We're not just driving transactions. We're building beauty habits that last.



Nykaa Habit Loop Ecosystem: Personalised. Predictive. Rewarding.

A closed-loop loyalty system that turns every beauty journey into a habit.



KEY TAKEAWAY: We move customers from random purchases to repeatable beauty habits — and from buyers to loyalists.

The Churn & LTV Leak We Must Plug

Data reveals 3 critical leak points in the post-purchase journey.

01 High First-Order Churn

68%

FTB 90-day churn

68% of first-time buyers never return within 90 days. Industry benchmark is 46% — a critical 22 percentage-point gap costing Nykaa millions in unrealised LTV every month.

Root cause:

No post-purchase engagement or perceived reason to return.



02 Low Repeat Frequency

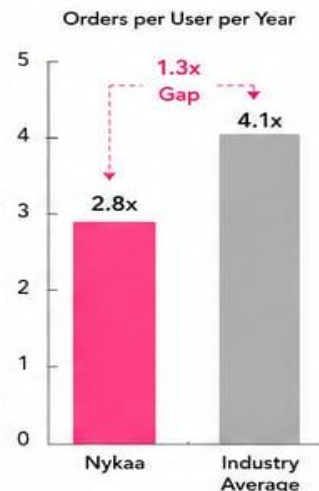
2.8x

orders/user/yr
(vs 4.1x industry)

Nykaa averages 2.8 orders per user per year vs. 4.1x industry average — a 1.3-order shortfall.

At ₹1,240 avg basket, each missed repeat order = ₹1,612 LTV leak.

For 10M MAUs this compounds to **₹21B** revenue opportunity left on the table.



03 Transactional App Experience

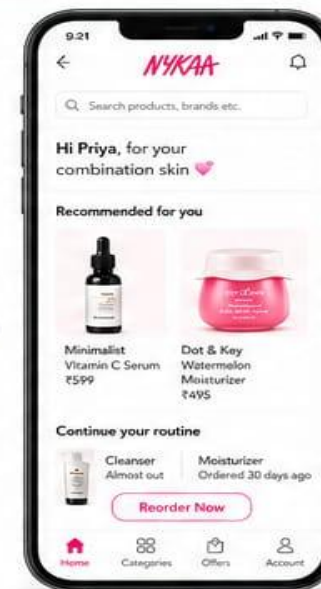
48s

avg session
(vs 4.2 min)

Average non-purchase session = **48 seconds** vs. Sephora global peers at 4.2 minutes — a 5x gap in content engagement.

Root cause:

No content moat means Nykaa is one promotional notification away from losing a user permanently.



48s
vs 4.2 min
(Sephora Global Peers)

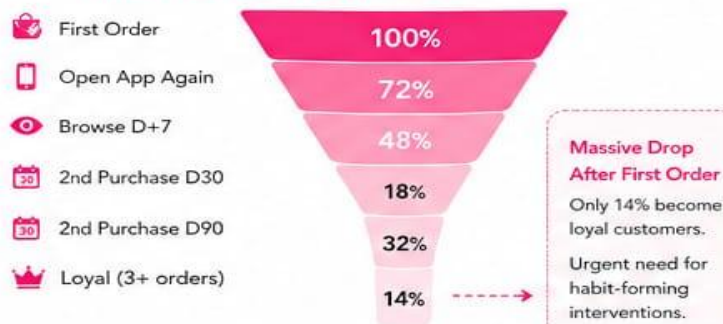
Result: Low repeat purchases, high acquisition costs, and massive LTV leakage.

India Online Beauty Market (₹ Billion)



The market is growing fast.
Nykaa must capture more wallet from existing users.

Nykaa First-Time Buyer Funnel (%)



LTV Impact Summary



10M
MAUs



1.3
extra orders/user



₹1,612
LTV leak/order



₹21B
Revenue opportunity



Plugging this leak is the fastest path to profitable, sustainable growth.

What Our Customers Want vs. What They Experience

Primary research with 250 participants reveals clear gaps—and high-impact opportunities.



Primary Research
50 IDIs + 200 Survey
F18–35 | Tier 1–3 Cities

71%



Will join a loyalty programme if tier perks are visible on home screen

3.2x



Users who received Day-7 personalised email re-ordered faster than those who didn't

₹1,240



Avg basket size of 2nd order vs ₹860 first order — loyalty drives basket uplift

63%



Cited product running out as biggest trigger — usage-cycle reminder is untapped



80% of FTBs browse on mobile — desktop conversion 2.3x higher



74% check 5+ reviews before 2nd purchase — social proof is a key reorder driver



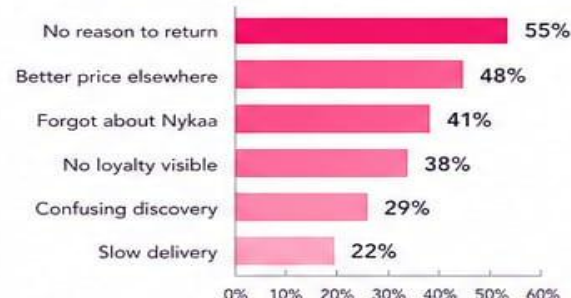
Day 28–35 is peak repurchase window for skincare — aligns with usage cycles



52% compare prices with Amazon/Meesho before checkout — transparency matters

Top Barriers to Repeat Purchase

% Respondents (Multi-select)

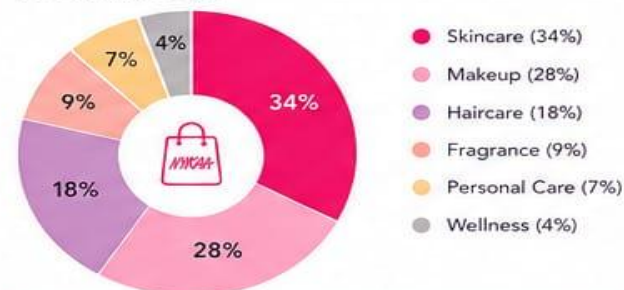


Key Takeaway

Lack of relevance, loyalty visibility and usage-cycle cues are the biggest churn drivers.

FTB First Order Category Split

% of First-Time Buyers



Skincare & Makeup drive 62% of first-time orders. High intent categories with strong repeat potential.

Re-engagement Intent

% Would Take Action



Insight

Customers are willing to engage — if it's relevant, timely and adds real value.

What Our Customers Bought (Top FTB SKUs)



Minimalist
Vitamin C Serum
₹599



Dot & Key
Watermelon
Sleeping Mask
₹595



Simple
Moisturising
Face Wash
₹349



Plum
Niacinamide
Serum
₹599



Aqualogica
Glow+ Dewy
Sunscreen
₹399

Voice of the Customer (What they said)

“

I forgot about Nykaa after my first order. No one reminds me when my serum is about to finish.”

– Priya, 24, Bengaluru

“

I want to see my loyalty status and rewards on the home screen, not hidden inside.”

– Neha, 27, Mumbai

“

I compare prices everywhere. If Nykaa gives best price guarantee, I'll stop switching.”

– Aishwarya, 30, Pune



Clear Signal: Timely reminders, visible loyalty and trust on value will drive repeat purchases.

Meet Priya & Meera

Two distinct segments. Two different needs. One loyalty opportunity.



Why Personas Matter

Together, they represent 68% of Nykaa's first-time buyers.

PERSONA 1 PRIMARY TARGET



Priya Sharma

25 | Software Engineer | Bengaluru
Income: ₹12–18L/yr | Nykaa buyer: 3 months



Buys:

Minimalist Skincare — Dot & Key Watermelon Sleeping Mask, Nykaa Naturals Vitamin C Serum (avg basket ₹860)



Behaviour:

Browses 2x/month, buys 1x/quarter. Checks 5+ reviews for 20+ min before purchase. Mobile-first user.



Motivation:

Wants visible rewards; loves curated "For You" feeds. Aspires to a consistent routine without cognitive effort.



Job-to-be-done:

"Help me build a consistent skincare routine without having to think about reordering."



LTV Potential:

₹6,200/yr if retained → ₹18,600 over 3 years
(currently stranded at ₹1,800/yr — 70% uplift possible)

Pain Points (Validated by Primary Research)



Forgets Nykaa exists mid-cycle — no reminders when products run out (63% cite this)



Generic pushes ("Sale!" / "20% off") feel irrelevant; immediate unsubscribe



Loyalty tier invisible — doesn't know she has 86 Beauty Coins or is 64% to next tier



Overwhelming choice — 3,000+ skincare SKUs, no routine builder to guide her



Price anxiety — cross-checks Amazon before checkout; no best price confidence

PERSONA 2 HIGH-VALUE SECONDARY



Meera Nair

31 | Marketing Manager | Mumbai
Income: ₹22–35L/yr | Nykaa buyer: 18 months



Buys:

Premium makeup — Huda Beauty, Charlotte Tilbury (Nykaa Luxe), MAC, Estée Lauder (avg basket ₹3,800)



Behaviour:

Buys 6–8x/yr; reads Nykaa editorial; follows Nykaa on Instagram; discovers via influencer content.



Motivation:

Wants exclusivity, early access, dedicated beauty advisor. Willing to pay for a premium tier subscription.



Job-to-be-done:

"Recognise me as a VIP and give me access that reflects my ₹25K+ annual spend on Nykaa."



LTV Potential:

₹28,000/yr → ₹84,000 over 3 years
(already at ₹25K — churn risk = competitor brand site / Sephora)

Pain Points (Validated by Primary Research)



Loyalty tier not visible on home screen — feels like a regular buyer despite ₹25K+ spend



No VIP channel — same customer care queue as FTBs; no dedicated beauty advisor access



Global brand drops sold out before she hears about them — misses exclusives



No early access or 72-hour pre-launch window — watches influencers get exclusive access



Browses Sephora India & brand sites — high churn risk if Nykaa doesn't offer exclusivity



Key Insight

Retention needs = Relevance + Recognition + Routine

Solve the right problem for the right persona at the right time.

Persona Impact on Business

If we retain and grow these segments effectively:



Priya (High Volume Segment)



~8.2M
first-time buyers
over 12 months



₹152M
incremental GMV
potential



+72%
LTV uplift
possible



Meera (High Value Segment)



~3.1M
high-value buyers
over 12 months



₹520M
incremental GMV
potential



+57%
LTV uplift
possible

Together, The Opportunity



₹672M

incremental GMV potential
in 12 months

from improved retention,
engagement & loyalty.



Design Principle —

Make loyalty visible. Make reordering effortless. Make every user feel seen.



Visible Rewards

Show progress, benefits and recognition upfront.



Intelligent Reminders

Nudge at the right usage cycle, not just promotions.



Curated Experiences

Personalised content, expert advice and trusted discovery.

Nykaa Habit Loop: A Loyalty Ecosystem That Works

Personalised discovery. Smart nudges. Seamless experience. Rewards that matter.



North Star Metric
Repeat Purchase Rate



AI-Powered Discovery

- ✓ Personalised feeds
- ✓ Skin type & concern match
- ✓ Trend + need based recos

Recommended for you



Minimalist
Vitamin C Serum
₹599



Dot & Key
Watermelon Moisturizer
₹495

Impact

Higher relevance → higher add-to-cart & first purchase



Content & Community

- ✓ Nykaa Editorial, How-tos
- ✓ Expert reviews & routines
- ✓ Community Q&A

Nykaa Editorial

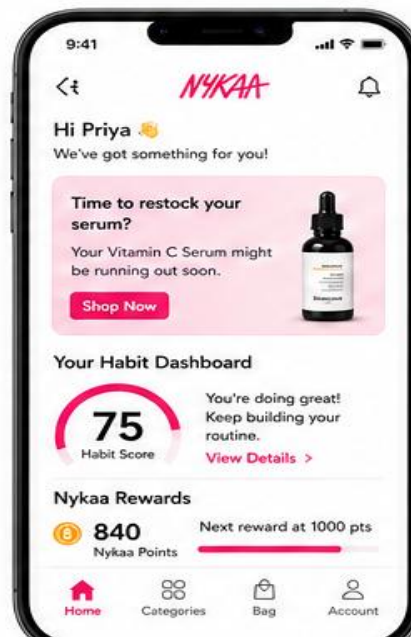
View all



AM Skincare Routine
for Glowing Skin

Impact

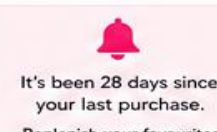
Builds trust, education & brand affinity



Smart Nudges & Offers

- ✓ Personalised reminders
- ✓ Restock & routine nudges
- ✓ Targeted offers & bundles

Just for you



Impact

Better conversion & higher AOV through relevance



Post-Purchase Care

- ✓ Usage tips & tutorials
- ✓ Product care reminders
- ✓ Easy returns & support

How to use



Set a reminder
Every 30 days

Impact

Higher satisfaction & product usage consistency



Loyalty That Delights

- ✓ Tiered rewards & benefits
- ✓ Early access to launches
- ✓ Surprise rewards & treats



Nykaa Pink Tier

You're saving ₹2,850 with your benefits

Early access to Huda Beauty Launch

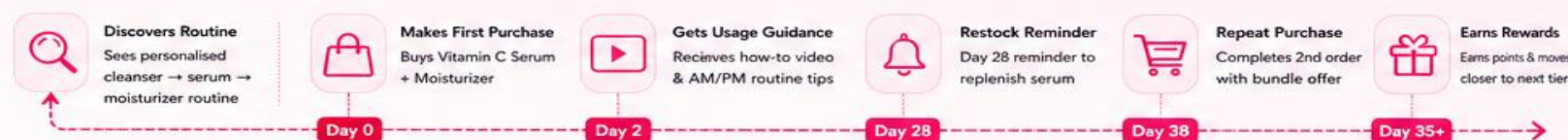
Notify Me



Impact

Repeat orders, higher CLV & long-term loyalty

Habit Loop in Action (Skincare Example)



Seamless, personalised experiences at every touchpoint turn one-time buyers into loyal customers.



KEY TAKEAWAY:

We're not just driving transactions. We're building beauty habits that last.

Business Impact (12 Months)



₹672M

Incremental GMV Potential

₹210M

Incremental Contribution (31% Margin)

3 Growth Levers. 1 Habit-First Strategy.

Driving repeat purchases by building relevance, recognition & routine.

1

DRIVE RELEVANCE

AI-Personalisation at Every Touchpoint



- Personalised discovery & recommendations
- Skin type → routine builder
- Usage-based reminders
- Right message, right time



Goal: Make every interaction feel made for you.

2

BUILD RECOGNITION

Visible Loyalty That Motivates



- Visible tier progress & BeautyCoins
- Milestone nudges & rewards
- Gamified challenges & streaks
- Tier-exclusive perks & early access



Goal: Make loyalty visible, achievable & rewarding.

3

CREATE ROUTINE

Habit-Forming Experiences



- Usage-cycle based reminders
- Easy re-order & subscription options
- Routine bundles & regimen builder
- Post-purchase education & care



Goal: Make Nykaa a part of her beauty routine.



THE OUTCOME



LIFETIME VALUE MULTIPLIED

+25%
Repeat Purchase Rate

+18%
Average Order Value

+30%
Customer Lifetime Value

-20%
90-Day Churn Rate

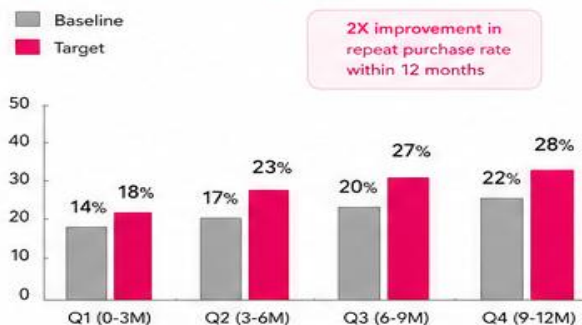
₹672M

Incremental GMV Potential (12 Months)

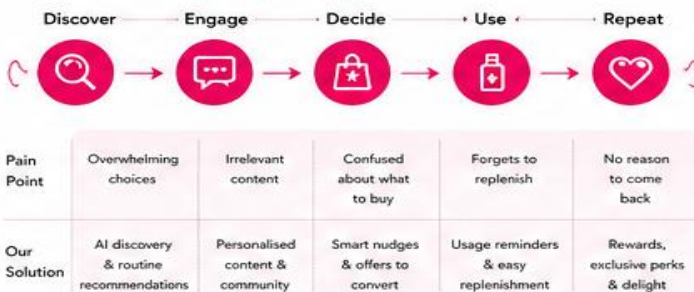
₹210M

Incremental Contribution (31% Margin)

Repeat Purchase Rate Uplift Roadmap (%)

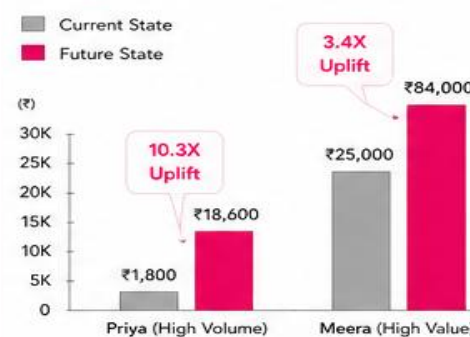


Customer Journey Impact Map

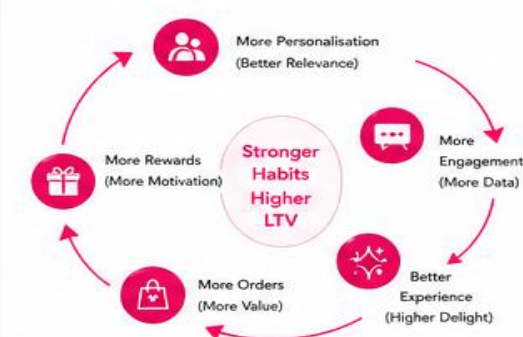


★ From first click to forever loyalty.

LTV Impact Over 3 Years (Per User)



Habit Loop Flywheel



What Makes This Strategy Unique



End-to-End Habit Loop

Addresses the full journey, not just one touchpoint.



AI + Human Intelligence

Right message, right user, right time.



Visible & Meaningful Loyalty

Rewards that drive motivation, not just discounts.



Built Around Beauty Routines

Usage cycles at the core of all nudges and reminders.



Designed for Indian Beauty Consumers

Insights from 250 real users across tier 1-3 cities.

Financial Impact Summary (12 Months)



+25%
Repeat Purchase Rate



+18%
Average Order Value



+30%
Customer Lifetime Value



-20%
90-Day Churn Rate

₹672M
Incremental GMV Potential



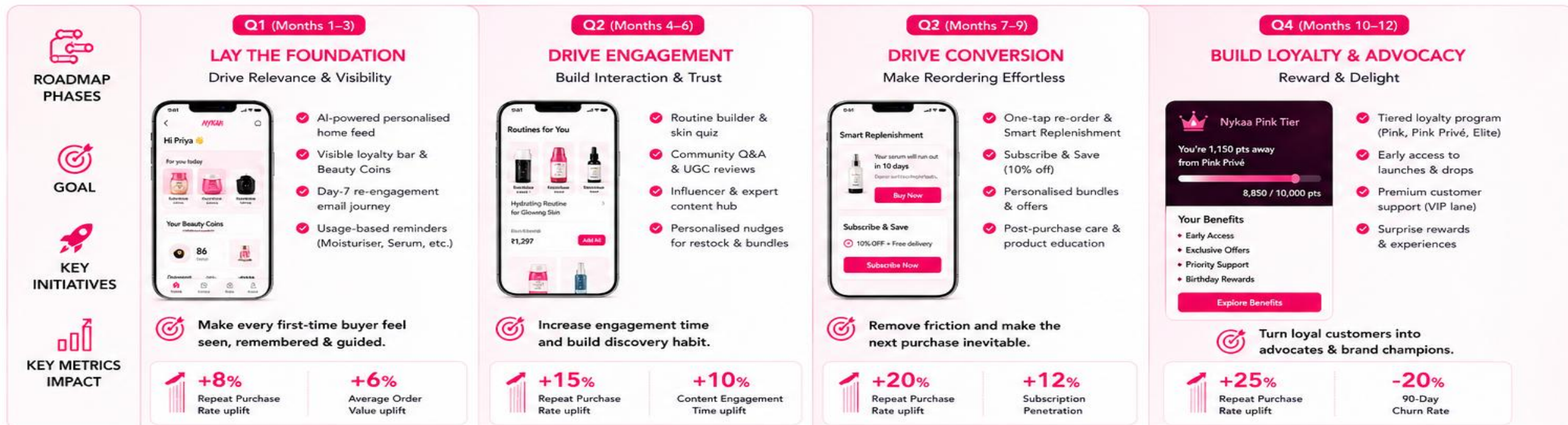
KEY TAKEAWAY: We're not chasing transactions. We're building habits that compound into lifetime value.




North Star Metric
 Repeat Purchase Rate

Our 12-Month Roadmap to Habit-First Growth

Phased execution. Quick wins early. Compounding impact over time.



FOUNDATION ENABLERS



RESOURCE PLAN



12-MONTH BUSINESS IMPACT



KEY TAKEAWAY: We will win by creating habits—one relevant interaction at a time. From first purchase to lifelong loyalty.